answer to that question could be found in the writings of Soviet leaders: It had always been their philosophy that it was moral to lie or cheat for the purpose of advancing Communism. I said they had told us, without meaning to, that they couldn't be trusted. (Much of the press later got it wrong when it claimed I called the Soviets liars and cheaters, failing to point out that I was simply quoting what the Russians themselves had said.)

I wanted to let them know that in attempting to continue their policy of expansionism, they were prolonging the nuclear arms race and keeping the world on the precipice of disaster. I also wanted to send the signal that we weren't going to be deceived by words into thinking they'd changed their stripes: We wanted deeds, not words. And I intended to let them know that we were going to spend whatever it took to stay ahead of them in the arms race. We would never accept second place.

The great dynamic success of capitalism had given us a powerful weapon in our battle against Communism—*money*. The Russians could never win the arms race; we could outspend them forever. Moreover, incentives inherent in the capitalist system had given us an industrial base that meant we had the capacity to maintain a technological edge over them forever.

But in addition to sending out the word that the United States was dealing with the Soviet Union from a new basis of realism, I wanted to let them know that we realized the nuclear standoff was futile and dangerous for all of us and that we had no designs on their territories. They had nothing to fear from us if they behaved themselves. We wanted to reduce the tensions that had led us to the threshold of a nuclear standoff.

It was ridiculous for both nations to continue this costly, open-ended competition to build bigger and better offensive weapons able to annihilate the world. The money we were